

Presentation Cheat Code.

A slide-by-slide companion to the Module 4 class presentation. As your lecturer works through each slide and asks the class questions, follow along here: every slide shows **what's on screen** and the **answer / key points** you should be ready to give. Built only from the class deck.

How to read each card:

Slide # · Title matches the slide on screen · **On screen** = what the lecturer is showing · **Cheat** = the answer / the point to make.

1-9 ORIENTATION & HOUSEKEEPING

Cheat: Title, programme outline & modules, course layout, class resources, ground rules, and **Slido** (anonymous live Q&A — ask/answer freely). Nothing examinable here; just logistics.

§1 · INTRODUCTION TO EQUITY SECURITIES

11 INTRODUCTION

On screen: equity capital & capital structure.

Cheat: Equity capital = the **share capital** of a company (ownership). **Capital structure** = the mix of debt & equity used to fund operations and assets; managers trade them off to reach the **optimal capital structure**.

12 INTRODUCTION · SHAREHOLDER RIGHTS

On screen: the rights a share confers.

Cheat: Share in **profits** (dividends) · share in **assets on liquidation** · **appoint directors** · **vote** at shareholder meetings.

13 INTRODUCTION (CONT.)

On screen: debt vs equity recap.

Cheat: Debt must be repaid with interest but doesn't dilute ownership; equity never repaid but dilutes ownership & shares profit. The balance = optimal capital structure.

14 MAIN FEATURES OF EQUITY CAPITAL

Cheat: **Permanent** capital for long-term investment · common holders are **owners** (control the firm, carry the **highest risk**) · shares are **tradeable/transferable** · common dividend = share of profit (**not fixed**) · preferred dividend is **fixed** · liability **limited** to the investment.

15 VIDEO · EQUITIES / SHARES

Cheat: Issuing shares is a company's main way of raising **equity capital**; shares are the primary equity security. People engage with markets directly (buying shares) or indirectly (retirement/mutual funds).

16 VIDEO · HOW THE STOCK MARKET WORKS

Cheat: The market **matches buyers and sellers**; prices are set by **supply and demand**.

17 EQUITY INVESTMENTS · ADVANTAGES

Cheat: Strong **long-term returns** (beat cash/bonds) · **global exposure** · **inflation proofing** · **income** (dividends, not guaranteed) · **tax/estate planning** (TFSA R30k, RA R350k / 27.5%).

18 EQUITY INVESTMENTS · DISADVANTAGES

On screen: downsides, who, and when.

Cheat: **Volatility** (price can fall below cost) · take a **10-year** view, not for <5-yr money · **who:** long horizon (10yr+) · **when:** inflation, rising activity, low rates.

19 EQUITY SHARES FOR COMPANIES (SECTION)

Cheat: Pivot to *how companies use equity* — the issue types and roles that follow.

20 TYPES OF EQUITY ISSUES

Cheat: The forms equity takes — **common, preferred, private, public, and foreign** equity (each covered in turn next).

21 ROLE OF EQUITIES IN THE ECONOMY

Cheat: **Capital raising** · **ownership alignment** (owners↔managers) · **investor participation** · **risk distribution** across many investors (market stability).

§2 · TYPES OF EQUITY SECURITIES

23 VIDEO · TYPES OF EQUITY SECURITIES

Cheat: Equity securities = the shareholder's stake, mostly **common** and **preferred** stock; investors use them to profit from future growth — know the key differences.

24 COMMON EQUITY · CHARACTERISTICS

Cheat: **Ownership interest** · **residual claimant** (rank last after liabilities) · **governance** (voting) · **share in profits** — dividends are **not obligatory**.

25 COMMON EQUITY · VOTING RIGHTS

Cheat: Vote on **board members, mergers/takeovers, outside auditors**. Can't attend? Vote by **proxy** (another shareholder, a representative, or management).

26 COMMON EQUITY · STATUTORY VS CUMULATIVE

On screen: example — 4 directors, 100 shares.

Cheat: **Statutory** = up to 100 votes per director (separately). **Cumulative** = $4 \times 100 = 400$ votes split freely → protects **minority** shareholders.

27 CALLABLE COMMON SHARES

Cheat: Issuer's **right (not obligation) to buy back** shares at a preset **call price**. Used when market price is **above** the call price. Investors get a guaranteed return when called.

28 PUTABLE COMMON SHARES

Cheat: Investor's **right to sell back** ("put") shares at a preset **put price**. Used when market price is **below** the put price → **limits the investor's loss**; makes shares more appealing (helps the firm raise capital).

29 PREFERRED EQUITY · CHARACTERISTICS

Cheat: Dividend is **fixed** and generally **higher** than common; but **not a contractual obligation** (unlike debt interest). Can be **perpetual, callable or puttable**.

30 PREFERRED EQUITY · DIVIDENDS

Cheat: Four base flavours that combine — **Cumulative / Non-cumulative** and **Participating / Non-participating**.

31 PREFERRED EQUITY · DIVIDENDS (DETAIL)

Cheat: **Participating** = standard dividend **plus** extra if profits exceed a set level (+ possible extra assets on liquidation; common for smaller/riskier firms). **Non-participating** = only the fixed dividend + par value on liquidation.

32 PREFERRED EQUITY · CONVERTIBLE SHARES

Cheat: Holder can **convert** into a set number of common shares; the **conversion ratio is fixed at issuance**. Popular in **venture capital & private equity** (higher-risk, long road to listing).

33 CONVERTIBLE SHARES · ADVANTAGES

Cheat: **Higher dividend** than the common shares · share in **profits** · **upside** via the conversion option · **lower volatility** than the common (dividend is known & stable).

34 PRIVATE EQUITY

Cheat: Issued to **institutional** investors via non-public offerings; **no secondary market** → illiquid, fair value hard to obtain. Three types: **venture capital, leveraged buyouts, PIPE** (private investment in public equity).

36 PRIVATE EQUITY · LEVERAGED BUYOUT

Cheat: A group buys **all outstanding shares using mostly debt**; if existing management does it, it's an **MBO**; company is **taken private**. Targets: **undervalued assets** + high **cash flows**; objective = restructure & **relist** later.

37 PUBLIC EQUITY

Cheat: Trades on a **listed exchange**; far larger than private networks; **more capital-raising** opportunities (actively traded in secondary markets); public scrutiny drives **better governance**.

38 INVESTING IN FOREIGN EQUITIES

Cheat: Shares issued outside the home country; **dual-listed** = issued/traded in two markets. Two ways in: **direct** investing and **indirect** (depository receipts & global registered shares).

39 COMMON EQUITY · DIRECT INVESTING

Cheat: Buy/sell directly in the foreign market in the **company's domestic currency**; must know local trading/clearing/settlement rules. Often **less transparency, more volatility, less liquidity**.

40 COMMON EQUITY · INDIRECT INVESTING

Cheat: Use **depository receipts & global registered shares** — traded locally in your own currency, so less worry about currency conversion, unfamiliar practices, and accounting differences.

42 VIDEO · DEPOSITARY RECEIPTS

Cheat: A DR is a **negotiable instrument issued by a bank** representing an economic interest in a foreign company, trading on a domestic exchange **like a common share**.

43 DEPOSITARY RECEIPTS · KEY FACTS

Cheat: **Not issued by the company** → raise **no capital** for it; issued by banks to **facilitate trading**. **Lower cost** than buying the stock directly. Called **GDRs** globally / **ADRs** in the US. **No voting rights** (rest with the bank).

44 DRS · SPONSORED VS UNSPONSORED

Cheat: **Sponsored** = the foreign company is **involved** in issuance; investors get the **same rights** as direct owners; more reporting. **Un-sponsored** = company **not involved**; the depository **bank retains the voting rights**, not the investor.

45 DRS · GDR VS ADR

Cheat: **GDR** = issued outside the home country *and* outside the US (avoids that home country's ownership/capital-flow restrictions). **ADR** = **USD-denominated**, trades like a common share on US exchanges; lets foreign firms raise **US capital**.

46 DRS · BASKETS & GLOBAL REGISTERED SHARES

Cheat: **Basket of listed DRs** = an **ETF** tracking a DR index. **Global Registered Share (GRS)** = **actual ownership**, traded on many exchanges in different currencies (no conversion needed) → more flexible than DRs.

47 §3 · RISK, RETURN & COMPANY VALUE (SECTION)

Cheat: Recap — equity capital = share capital; the debt/equity capital-structure trade-off frames what follows.

48 RISK AND RETURN

Cheat: There's a **risk-return trade-off**. Return measures to know: **holding period return (HPR)**, **annualised HPR**, **arithmetic mean**, **geometric mean**.

49 RISK AND RETURN · HOLDING PERIOD RETURN

Cheat: $HPR = [(EV - BV) + D] / BV$. Other return sources: **FX gains/losses** (DRs/foreign shares) and **reinvested dividends**. Historical **average return** $\approx$ proxy for expected return.

50 RISK AND RETURN · RISK

Cheat: Risk = **uncertainty of future cash flows**; more uncertainty → more risk → more volatile price. Risk = uncertainty of **expected total return**. **Average return & standard deviation** proxy expected return & risk.

51 RISK & RETURN CHARACTERISTICS

Cheat: Compares the risk of different share types — set up for the callable vs cumulative comparison on the next slide.

52 RISK & RETURN CHARACTERISTICS (DETAIL)

Cheat: **Callable** shares are **riskier** than non-callable (issuer can redeem) → pay a **higher dividend** to compensate. **Cumulative** preference shares are **lower risk** than non-cumulative (right to unpaid dividends first).

53 COMPANY VALUE

On screen: "equity capital" branching diagram.

Cheat: Equity is raised to (1) **finance revenue-generating activities** → increase net income → **maximise shareholder wealth**; and (2) ensure the firm runs as a **going concern** → meet regulatory, debt-covenant & capital-adequacy needs.

54 MARKET VALUE

Cheat: **Market cap** = **Outstanding Shares** × **Current Share Price**. Reflects expectations of the **amount, timing & uncertainty** of future cash flows. Many growth opportunities → **MV** > **book value**. Management affects it only **indirectly**.

55 BOOK VALUE

Cheat: **Book value** = **Total Assets** – **Total Liabilities**. Based on **historical** values → rarely equals market value; reflects the cumulative effect of past management actions.

56 ACCOUNTING RETURN ON EQUITY (ROE)

Cheat: Examine the **source of changes** in a company's net income and shareholders' equity over time — that's what ROE interrogates.

57 ROE · WHAT IT TELLS YOU

Cheat: Measures whether management uses equity **effectively/efficiently**; higher ROE → better internal cash generation. It can rise if NI grows faster than equity, **or** via debt-funded buybacks (but that ↑ leverage & risk).

58 ROE · FORMULA

Cheat: $ROE = NI \div \text{average shareholders' equity} = NI \div [(SE_t + SE_{t-1}) / 2]$.

59 ROE · WORKED EXAMPLE

Cheat: NI = R10 150 000; equity 2017 = R49 445 000, 2016 = R65 500 000. $ROE = 10\,150\,000 \div ((49\,445\,000 + 65\,500\,000)/2) = 17.66\%$.

60 §4 · EQUITY MARKETS (SECTION)

Cheat: Shift from *the instrument* to *where & how it trades* — participants, markets, listing and indices.

61 STOCK MARKET PARTICIPANTS

Cheat: Four pieces of the puzzle — **SARB** (regulator), **brokers**, **stock exchanges**, and **investors & traders**.

62 PRIMARY & SECONDARY MARKETS

Cheat: **Primary** = new shares issued, the **company raises capital**. **Secondary** = existing shares trade between investors; **no new capital** to the firm.

63 PRIMARY & SECONDARY MARKETS (DIAGRAM)

Cheat: **Primary:** company issues shares in an IPO → investors buy in the IPO. **Secondary:** investors then trade with each other.

64 INVESTMENT POSITIONS

Cheat: **Long** = own the share, profit if price **rises**. **Short** = sell a borrowed share, profit if price **falls**.

65 LISTED VS UNLISTED SHARES

Cheat: Listed = **public**, continuous trading, transparent, regulated (FMA). Unlisted = **private/OTC**, irregular trading, low transparency, illiquid, single market maker → **manipulation risk**; far riskier.

66 INVESTMENT HOLDING COMPANIES

Cheat: Have **no operations** of their own — they only **hold stakes** in other companies. Their value is driven by the **underlying investments**, not holding-company activity.

67 ORDERS & THE BID-ASK SPREAD

Cheat: Buyers/sellers issue **orders** via brokers/exchanges/dealers (instrument, size, buy/sell + execution, validity, clearing instructions). **Bid** = buy price, **ask/offer** = sell price; **spread** = best bid – best offer.

68 SA STOCK EXCHANGES

Cheat: Exchanges **match buyers/sellers** & ensure trades are **cleared**. **JSE** (1887, ~354 cos, primary IPO venue, T+3) · **ZAR X** (same-day settle) · **A2X** (secondary listings) · **4AX** (unlisted) · **EESE** (empowerment).

69 JSE LISTING REQUIREMENTS

Cheat: The **JSE is the primary licensed exchange for IPOs** in SA — so its listing rules are the ones to know.

70 JSE LISTING · BOARDS & PRINCIPLES

Cheat: **Main Board** + **AltX** (lighter criteria). Comply with the **Companies Act** + **JSE Listings Requirements** (under the FMA). Issuer must be **suitable**; prompt disclosure; full info + vote; highest care; **fair & equal treatment**.

71 MAIN METHODS OF LISTING

Cheat: Choose between the **Main Board** (established firms) and **AltX** (small/medium, less onerous). A company can't list without complying with the Companies Act + Listings Requirements.

72 SEASONED EQUITY OFFERING (SEO)

Cheat: An **already-listed** firm issues more shares. Follows many IPO steps, but the key difference: **no price-setting process** is needed (a market price already exists).

73 COMMON EQUITY (RECAP)

Cheat: Recap of how common equity is traded on the exchange before moving to indices and pricing.

74 ALL SHARE INDEX

Cheat: A **broad-market benchmark** tracking the whole market; widely reported (which is why even non-investors know "the market").

75 COMMON STOCK SHARE

Cheat: A claim to a share of the corporation's **assets** and its **net income** (income after taxes, expenses & debt). So your return depends on the issuer's **economic performance**.

76 SHARE PRICES

Cheat: Set by **supply and demand**, reflected in the **bid-ask spread**. More buyers than sellers → price rises; lots of sellers, no buyers → price falls quickly.

77 CLASS DISCUSSION

Cheat: Open discussion — no fixed answer; expect to apply primary/secondary, listed/unlisted and pricing concepts out loud.

78 DUAL-LISTING OF SHARES

Cheat: Listing a security on **2+ exchanges** (if it meets the rules & pays fees) → more **liquidity, capital & exposure**; often via DRs. SA examples: **BHP, AB InBev, Richemont, Naspers, Anglo American**.

79 ADVANTAGES OF DUAL LISTING

Cheat: **Expands the investor base** (key for emerging-market firms) · builds **name recognition** in new markets · **marketing** advantages · **mitigates hostile takeovers**.

80 WELL-FUNCTIONING FINANCIAL SYSTEMS

Cheat: Characterised by **well-developed markets, liquid/low-cost** trading, the ability to **estimate fundamental values**, and prices that **reflect fundamentals** (informationally efficient).

§5 · EQUITY VALUATION — CONCEPTS & BASIC TOOLS

83 GOING CONCERN VS LIQUIDATION

Cheat: **Going concern** = firm continues trading, uses assets for value maximisation, accesses optimal financing. **Liquidation** = firm dissolved, assets sold separately.

84 THE BASICS · VALUATION

Cheat: **Valuation** = finding fair value from expected future cash flows. **Fair value** = price between a willing buyer & seller with full information. **Equity valuation** = fair value of a company's equity; purpose = value the firm & its securities.

85 THE BASICS · METHODS OF VALUATION

Cheat: Three groups — **Balance sheet** (book value, liquidation value, replacement cost) · **Dividends** (1-yr / multi-yr holding, constant- & multiple-growth models) · **Other** (P/B, earnings multiplier, P/S, market value method).

86 INTRINSIC VALUE · DEFINITION

Cheat: Underlying, inherent value. Fundamental analysis weighs **quantitative** factors (capital, earnings, revenue) and **qualitative** factors (management quality, IP, track record).

87 INTRINSIC VALUE VS MARKET PRICE

Cheat: **IV** differs investor-to-investor; **MV** = supply/demand price. In an inefficient market: **IV** > **MV** → **undervalued**; **IV** < **MV** → **overvalued**.

88 USES OF VALUATION

Cheat: Security selection · inferring market expectations · corporate events (**acquisition / divestiture / spin-off / LBO**) · fairness · evaluating strategies · communicating · appraising private firms · compensation.

89 THE VALUATION PROCESS

Cheat: Overview of the steps that take you from understanding the business to a value conclusion (detailed next).

90 TOP-DOWN APPROACH

Cheat: Start broad, narrow down: **economy** → **industry/sector** → **company**.

91 BOTTOM-UP APPROACH

Cheat: Start with the **company's own fundamentals** and build up.

92 THE PROCESS · 5 STEPS

Cheat: (1) Understand the business (2) forecast performance (3) select the model (4) use the forecasts in a valuation (5) apply the conclusions.

93 UNDERSTAND THE BUSINESS

Cheat: Evaluate **industry prospects** (economic & technological factors), **competitive position** (the firm's advantage), and **corporate strategies** (what it intends to do).

94 INDUSTRY ANALYSIS · PORTER'S 5 FORCES

Cheat: Threat of new entrants · intra-industry rivalry · substitutes · buyer power · supplier power.
High barriers, low rivalry, few substitutes, weak buyer/supplier power → higher industry profitability.

95 COMPETITIVE ANALYSIS · GENERIC STRATEGIES

Cheat: Porter's three: **Cost leadership** (lowest-cost producer) · **Differentiation** (unique product at a premium) · **Focus** (advantage in a target segment via cost or differentiation).

96 SELECT A MODEL · ABSOLUTE (DCF)

Cheat: Value on the asset's own discounted cash flows — **DDM** (dividends), **FCFE** (to equity, after debt), **FCFF** (to the firm), **Residual Income** (income above required return).

97 SELECT A MODEL · WHEN TO USE WHICH

Cheat: **DDM** → dividend payers (stable, mature). **FCFF/FCFE** → no/irregular dividends but positive, predictable free cash flows. **Relative** → value vs peers using ratios/multiples.

98 SELECT A MODEL · RELATIVE

Cheat: Price ratios — P/E, P/B, P/S. Enterprise value multiples — e.g. EV/EBITDA.

99 SELECT A MODEL · ASSET-BASED

Cheat: $\text{NAV / FMV} = \text{total assets} - \text{total liabilities}$. Best for firms with many **tangible** assets and **few** intangibles.

100 SELECT A MODEL · CHOOSING

Cheat: Match by **company characteristics** (cash flows vs tangible assets), **data availability & quality** (DDM needs dividends; P/E needs positive earnings), and **purpose** (FCF → controlling stake; DCF → minority stake).

101 REMINDER

Cheat: Housekeeping/recap slide — note any assessment or reading reminders the lecturer gives.

102 POST-CLASS FEEDBACK FLOW

Cheat: Submit your post-class feedback as instructed — that's the wrap.

YOU'RE SET That's the whole deck. If the lecturer asks "why" or "give an example", lean on the worked items — the **400-vote** cumulative example (26), the **17.66% ROE** (59), and the **IV > MV = undervalued** rule (87) are the most likely cold-call questions.